[Company name]

Vendor Rating Policy

Policy Owner:	Click here to enter text.
Policy Number:	Click here to enter text.
Effective Date:	Click here to enter a date.
Applicable Divisions:	Click here to enter text.
Policy Last Updated:	Click here to enter a date.
Last Updated by:	[Author]

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1 Purpose

The purpose of this policy to define the scope, principles, responsibilities and activities required to implement a vendor rating program.

2 Scope

This policy applies to Click here to enter text departments and Click here to enter text business units of the Company, and is effective from Click here to enter a date.

3 Policy Principles

Improve overall vendor performance

Provide an objective baseline for finding and capturing significant reductions in total cost through improved performance

Create a single, consistent, objective evaluation of vendors across company

Improve vendor communication and ownership

Establish a basis for comparing competitive vendors

Reinforce goals, behavior, and expectations

Identify continuous improvement opportunities

Vendors also realize benefits from a strong Vendor Performance Management system, including the following:

- Clear understanding of expectations and goals
- Early identification of performance issues
- Objective performance evaluation
- Management awareness/visibility

4 Responsibilities

4.1 Procurement Department

4.2 Senior Management

5 Vendor Definitions

5.1 Strategic Vendors

Strategic vendors are often an integral part of a business process and may supplement the company's operations or management team. Relationships are often of a long-term nature and established through a contract that outlines pricing, payment terms, discounts and volume rebates. Any vendor with spend over $xxx million should be treated as a strategic vendor, for purposes of this policy.

5.2 Utility/Facility Vendors

Utility and facility vendors provide services for the Company including telephone, gas, power, water and other support services. A contract is not always required by either the vendor or the Company when purchasing these types of services.

5.3 Core Vendors

All other vendors who do not fall into the strategic or utility/facility category are to be treated as Core Vendors. Such vendors may be chosen based on location, price and timely delivery. There may not be a formal contract with them (outside a Purchase Order) or a minimum purchase amount required.

6 Performance Score Definitions

PERFORMANCE SCORES

Score	Definition

5	Consistently exceeds performance standards and expectations. Accomplishments are highly valued and help contribute to the overall success of the business. An actionable continuous improvement plan should be documented to capture additional opportunities to reduce total cost of ownership.
4	Consistently meets performance standards and expectations. Exceeds some requirements and expectations. An actionable continuous improvement plan should be documented to capture opportunities to reduce the total cost of ownership.
3	Meets most performance standards and expectations as outlined in the scorecard. An actionable continuous improvement plan must be documented so all future performance expectations will be met or exceeded. Opportunities to reduce the total cost of ownership should also be identified.
2	Occasionally falls below performance standards and expectations. A corrective action plan must be documented and satisfactorily fulfilled by the vendor.
1	Falls below performance standards and expectations. Consistent performance of this nature will adversely affect the overall success of the business. A corrective action plan must be documented and satisfactorily fulfilled by the vendor.

7 Forms/Documents

7.1 Vendor Rating Criteria

8 Vendor Review Meetings